

Calendar line 1**Case Name:** *The Conservatorship of Michael D. Kowitz***Case No.:** 2005-1-PR-157452**INTRODUCTION**

In 2005, Patricia Ladd (“Ladd”) was granted letters of conservatorship of the person and estate of Michael David Kowitz (“Former Conservatee”). In 2020, Former Conservatee petitioned for removal of the conservatorship, which relief was ultimately granted.

On June 23, 2020, Former Conservatee’s sons, Zachary Kowitz and Michael Daniel Kowitz (“Petitioners”), along with a corporation, Bay Surplus Technology, filed a civil lawsuit in the Santa Clara docket 20CV367561 naming Former Conservatee as a defendant. An amendment to the complaint, filed October 22, 2020 replaced Does 1 and 2 with Ladd in her individual capacity and as conservator for Former Conservatee. The final version of the complaint, a third amended complaint filed April 11, 2023 (“TAC”), alleged causes of action for (1) conversion, (2) quiet title, (3) fraud, (4) breach of fiduciary duty, (5) shareholder’s derivative action, (6) receipt of stolen property (Penal Code section 496), (7) demand for an accounting, (8) civil conspiracy, (9) declaratory relief, (10) negligence, and (11) concealment. The TAC alleged that Former Conservatee had convinced Petitioners to purchase property at 14331 and 14341 Browns Lane Los Gatos (“Browns Lane property”) through Former Conservatee’s trust and other entities, which Former Conservatee controlled. (TAC in docket 20CV367561, ¶¶ 11-13.) He then engaged in a fraudulent scheme to claim ownership of the properties via forgery of Petitioners’ signatures. (*Id.*, ¶ 14.)

During the pendency of the civil lawsuit, Ladd sought authority from the probate court to sell the Browns Lane property. Via written order filed December 23, 2021, the probate court (Hon. Lori Pegg) granted that request, allowing that the Browns Lane property be sold and ordering that the proceeds be placed in a blocked account. (See December 23, 2021 Order in docket 2005-1-PR-157452, ¶¶ 1, 3.) The funds could not be removed from the blocked account without a court order. (*Id.*, ¶ 3.)

On April 14, 2022, Ladd filed in the probate case a notice of receipt and acknowledgement of funds showing that \$665,742.71 had been deposited in a blocked account at U.S. Bank in the name of “The Trust of the Conservatorship of Michael Kowitz”.

On December 19, 2022, the probate court (Hon. Lori Pegg) issued an order allowing Ladd to pay out of “funds of the conservatorship” \$34,970.53, with \$15,000 payable to Ladd and \$19,970.53 payable to law firm Coward and Geisick, LLP. This followed a minute order from a hearing occurring on October 19, 2022, wherein the court stated, “The court’s tentative ruling on Mr. Coward’s fee petition, which is on-calendar tomorrow, is to grant the petition but not allow the funds to come out of the blocked account.”

On December 11, 2023, the probate court (Hon. Drew Takaichi) issued an order granting Ladd’s unopposed request to reimburse herself in the amount of \$218,809.78 for attorney fees she paid in the probate case from the blocked account.

On December 12, 2023, the jury reached a verdict in the civil case. The jury was specifically asked to determine ownership of the Browns Lane property and the funds in the

blocked account and found in favor of Petitioners. On December 14, 2023, the civil court (Hon. Julia Alloggiamento) issued a judgment on the jury verdict. The judgment explained the jury's verdict regarding damages and then stated, "In addition to the foregoing damages, in accordance with the findings by the jury, Plaintiffs are also awarded all proceeds in the bank account in the name of 'Trust of the Conservatorship of Michael David Kowitz', account number 157523719720, at US Bank, N.A., 127 N. Santa Cruz Avenue, Los Gatos, CA 95030. U.S. Bank is hereby ordered to release the present balance of said account to Plaintiffs upon presentation to U.S. Bank of this Judgment." (December 14, 2023 Judgment on Jury Verdict in docket 20CV367561, p. 14:19-23.) On December 21, 2023, the civil court (Hon. Julia Alloggiamento) again ordered U.S. Bank to provide Petitioners with the remaining funds in the U.S. Bank account.

On December 22, 2023, the civil court (Hon. Julia Alloggiamento) granted Ladd a stay of enforcement of execution of the judgment, save for the funds currently in the blocked account, on the condition that Ladd post an undertaking, for 70 days until February 23, 2024. It does not appear that Ladd posted the undertaking, in fact, she filed an ex parte request for reconsideration of the stay order. In any event, the stay would have expired on February 23, 2024.

On March 5, 2024, Former Conservatee and Ladd filed notices of appeal in docket 20CV367561, challenging the judgment.

At some point, Ladd filed for bankruptcy in United States Bankruptcy Court, Northern District of California, San Jose Division, docket number 24-51621 MEH. On March 19, 2024, Petitioners filed an ex parte application seeking an order to show cause re: contempt alleging that Ladd improperly removed funds from the blocked account. On March 29, 2024, the Clerk's Office issued a rejection letter indicating that the proposed order for the ex parte application was being returned unsigned due to the automatic bankruptcy stay.

On May 20, 2024, Petitioners again filed an ex parte application for an order to show cause re: contempt alleging the Ladd had improperly removed funds from the blocked account. On June 7, 2024, Ladd filed a declaration in opposition. On June 7, 2024, the Clerk's Office indicated that it returned the proposed order for the ex parte application unsigned because the court ordered Petitioners to file an order to show cause on a Judicial Council form.¹

On November 22, 2024, Petitioners filed in docket 2005-1-PR-157452 a Petition for Return of Improperly Removed Funds from Blocked Account and Order to Show Cause re: Contempt ("the petition") in the instant probate case. The petition requests that Ladd be ordered to return funds she allegedly improperly removed from the U.S. Bank blocked account. It also requests that the court issue an order to show cause re: contempt against Ladd. Despite being served by both mail and email, Ladd has not opposed the petition.

¹ This notation appears on the court's electronic docket for 2005-1-PR-157452 on the proposed order filed by Ladd denying the ex parte application. No Clerk's Office rejection letter appears in the file for this ex parte application.

On March 14, 2025 in docket 2005-1-PR-157452, Petitioners filed an order of the bankruptcy court indicating that the automatic bankruptcy stay (11 U.S.C. § 362) is modified to allow the petition to move forward.

On May 5, 2025, the petition came on for hearing on the court's law and motion calendar. A notice of hearing was served on March 24, 2025. At that hearing, the opposing parties, Former Conservatee and Ladd requested a court reporter but none was available and the court continued the hearing to May 12, 2025 so that the proceedings could be reported.

On May 5, 2025, Former Conservatee and Ladd filed an "Ex Parte Application and Joint Motion to Strike Declaration of Brian Affrunti".² Petitioners opposed the ex parte application and the court denied it via written order dated May 27, 2025 and filed on June 5, 2025.

On May 12, 2025, Former Conservatee and Ladd served a Code of Civil Procedure section 170.1 challenge against the assigned judge and the hearing was continued to June 12, 2025. On May 22, 2025, the statement of disqualification was stricken and the allegations were denied in a verified answer in the alternative.

On June 10, 2025, Kowitz filed a renewed verified motion to disqualify the assigned judge pursuant to CCP 170.1(a)(6)(A)(iii). On June 11, 2025, the renewed statement of disqualification was stricken and the allegations were denied in a verified answer in the alternative.

DISCUSSION

I. Merits of the Petition

Petitioners assert that the jury in the civil case determined that they were the true owners of the Browns Lane property and the funds in the blocked account, consisting of proceeds from the sale of the Browns Lane property. Thus, they conclude that they are entitled to return of the \$253,780.31 Ladd removed from the blocked account (consisting of \$34,970.53 plus \$218,809.78).

The unopposed petition is GRANTED to the extent it seeks an order that Ladd return the \$253,780.31 removed from the blocked account. Petitioners have established that the jury in the civil case determined that the Browns Lane property belonged to them and that the funds in the blocked account, consisting of proceeds of the sale of the Browns Lane property also belonged to Petitioners. The payments for attorney fees should have been made out of conservatorship funds. The order authorizing Ladd to pay \$34,970.53 specifically stated that the funds should be taken from "funds of the conservatorship"; it did not authorize removal of funds from the blocked account. (See December 19, 2022 Order in docket 2005-1-PR-157452, ¶ 1.)

As to the \$218,809.78, although the court allowed Ladd to remove this amount from the blocked account, Ladd represented that the petition making that request was uncontested. She

² Mr. Affrunti is counsel for Petitioners.

filed a “Probate Uncontested Ex Parte Coversheet: Matters Submitted on the Pleadings” stating that the only interested person was Former Conservatee. (See Probate Ex Parte Coversheet filed November 9, 2023 in docket 2005-1-PR-157452, p. 2 of 4.) Ladd also represented that Petitioners had not sought attachment of the funds in the blocked account. (See, e.g. August 29, 2023 Ex Parte Application in docket 2005-1-PR-157452, ¶ 8.) A proof of service for the August 29, 2023 Ex Parte Application, also filed August 29, 2023, reveals that Petitioners were not served with the Ex Parte Application.³ On November 9, 2023, Ladd again filed an ex parte application for an order shortening time to hear her motion to release funds from the blocked account. The motion itself was filed November 16, 2023. No proof of service was attached or filed concurrently with the November 9, 2023 ex parte application or the November 16, 2023 motion. On December 11, 2023, the court heard the matter and granted the request to remove the \$218,809.78 from the blocked account. Neither Petitioners nor their counsel were present. (See Minute Order filed December 11, 2023 in docket 2005-1-PR-157452.) Petitioners contend that they were not served with these filings and, instead, were informed for the first time of these proceedings when U.S. Bank filed a “Status of Account Funds” in the civil action on February 26, 2024. (See Petition, p. 5:12-15; Non-Party U.S. Bank National Association Status of Account Funds, filed in docket 20CV367561 on February 26, 2024.)

The August 29, 2023 ex parte application indicated that the court (Hon. Lori Pegg) had previously found that the funds in the blocked account were conservatorship funds. As mentioned above, on December 23, 2021, the court issued an order that the proceeds of the sale of the Browns Lane property would be placed in a blocked account. That order also stated, “While title to the properties are held in the names of Michael Kowitz, Trustee of the Kowitz Family Trust-I and ZDE Holdings, Inc., these properties are assets of the Conservatorship of Michael Kowitz, Patricia Ladd, as Conservator of Michael Kowitz, is therefore, being granted the authority to sell these properties to preserve the Assets for the conservatorship estate.”⁴ (December 23, 2021 Order in docket 2005-1-PR-157452, p. 2:17-22.) Nonetheless, the issue of ownership of the Browns Lane property was submitted to the jury and it was ultimately determined that the funds in the blocked account belonged to Petitioners. (See Judgment on Jury Verdict filed in docket 20CV367561 on December 14, 2023, ¶ 50 [“Do you award the sales proceeds held in the blocked account from the sale of 14341 Browns Lane, Los Gatos, California to Plaintiffs? Yes. Do you award the sales proceeds held in the blocked account from the sale of 14331 Browns Lane, Los Gatos, California to Plaintiffs? Yes.”].) Accordingly, the court finds that Ladd should not have removed the funds from the blocked account to pay for attorney fees related to the conservatorship.

The petition is DENIED to the extent it seeks an order to show cause re contempt. Initiating contempt proceedings requires an affidavit charging the facts constituting contempt. (Code Civ. Proc., § 1211, subd. (a) [“When the contempt is not committed in the immediate view and presence of the court, or of the judge at chambers, an affidavit shall be presented to the court or judge of the facts constituting the contempt, or a statement of the facts by the

³ An attorney filed the August 29, 2023 Ex Parte Application but that attorney moved to withdraw on October 11, 2023.

⁴ ZDE Holdings is one of the entities that Petitioners contended Former Conservatee alleged would hold title to the Browns Lane property while Former Conservatee, in fact, fraudulently held the Browns Lane property out to be his own. (See TAC in docket 20CV367561, ¶¶ 11-13.)

referees or arbitrators, or other judicial officers.”].) Here, although Petitioners provide the declaration of their counsel in support of the petition, it does not meet these requirements. Accordingly, the request for an order to show cause re: contempt is DENIED.

CONCLUSION

The petition is GRANTED IN PART. Patricia Ladd is ordered to return \$253,780.31 to Petitioners’ counsel within 30 days of the date of the court’s final order on this matter. The petition is DENIED IN PART as to the request for an order to show cause re: contempt.